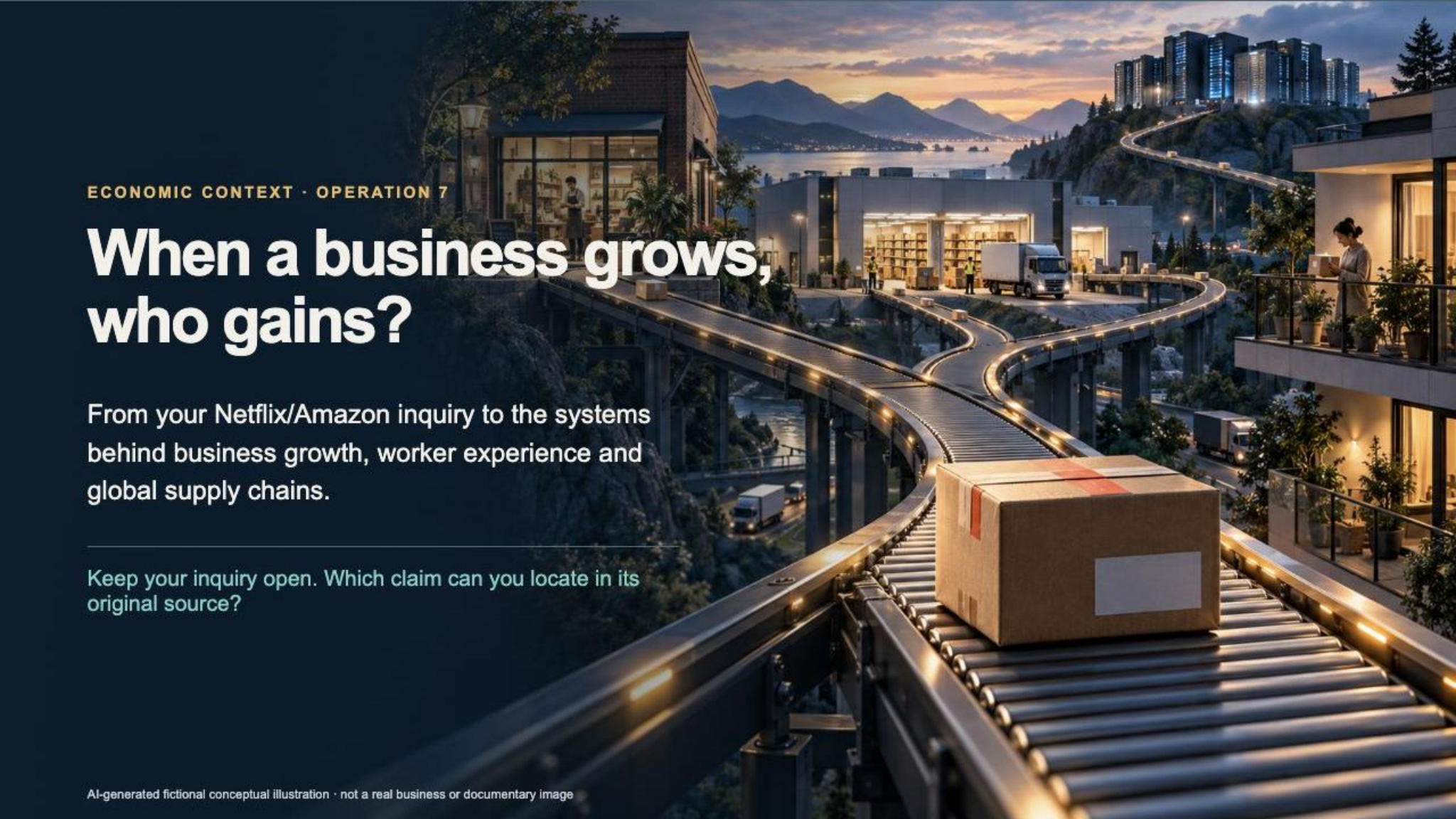


ECONOMIC CONTEXT · OPERATION 7

# When a business grows, who gains?

From your Netflix/Amazon inquiry to the systems behind business growth, worker experience and global supply chains.

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Keep your inquiry open. Which claim can you locate in its original source?

AI-generated fictional conceptual illustration · not a real business or documentary image

RETRIEVE · 5 MIN · INDIVIDUAL THEN PAIRS

# Bring back your evidence—not just your opinion.

Locate one fact from each source. Trace input → processing decision → output → business purpose. Circle one statement in your response that is an inference.

---

Explain your chain to a partner in 45 seconds; your partner asks: what does the source actually establish?

CONNECT THE ICEBREAKER TO TODAY

# The discovery: useful to whom, and under what conditions?

Netflix: recommendations can help discovery, but a stated purpose is not proof that every viewer chooses more easily. Amazon: faster processing and worker needs are separate questions. A speed claim alone cannot settle the balance.

---

Did your evidence establish a feature, an outcome, or a claim about an outcome?

UNIT MAP · INTRODUCTION, NOT WHOLE-CHAPTER MASTERY

# Four flows make the business visible.

## GOODS / SERVICE

What reaches the user?

## MONEY

Who pays whom?

## DATA

What coordinates the decision?

## CONTROL

Who can change the rule?

Goods and services move to users. Money pays for them. Data coordinates decisions. Control determines who sets the rules. We will follow these flows from a small shop to a global chain.

---

Which flow was easiest to see in your inquiry? Which was hidden?

EXPLAIN · CHAPTER 4.2A · PP. 213–214

# A sale becomes data—and a decision.

| INPUT | → | PROCESS | → | OUTPUT |
|---|---|---|---|---|
| Item + quantity + payment | | Record sale; check stock | | Receipt + stock update |

A checkout records the item, quantity and payment status: transaction processing. A stock rule may flag a reorder. Shared schedules and messages coordinate staff: office automation. These systems do different jobs, even when connected.

New case: a library records a loan and then schedules a staff meeting. Which action is transaction processing, and why?

THE CHAPTER'S FOUR-PART FRAMEWORK · PP. 214–215

# Growth has four different directions.

| OFFER | CHAIN | AUDIENCE | INDUSTRY |
| --- | --- | --- | --- |
| Horizontal | Vertical | Concentric | Conglomerate |

Ask what changes: the offer, the stage of the chain, the audience, or the industry. Real company moves can overlap; classify a specified move rather than giving an entire company one permanent label.

Diversity describes who participates in the organization. How is that different from diversification?

SAME SHOP · RELATED CUSTOMER NEED

# Horizontal: a complementary offer.

**NOTEBOOKS**
Existing offer

→

**+ PENS**
Complementary offer

→

**SAME SHOPPERS**
Same packing constraint

Northstar sells notebooks. It adds pens for the same shoppers. The opportunity is a larger basket; the risk is more stock and more packing demand. This is a fictional chapter-aligned example.

Predict: will extra demand help if the packing team is already at capacity?

SAME CHAIN · DIFFERENT CONTROL

# Vertical: own another stage.

**SUPPLIER**
Goods

→

**SHOP**
Stock + orders

→

**OWN DELIVERY**
New control + obligations

Northstar buys a delivery operation. It gains control over delivery timing and may reduce an external fee. It also takes on vehicles, driver hours and fixed costs. Lower cost per delivery does not guarantee higher total surplus.

---

Which responsibility moves from the outside supplier into Northstar?

RELATED CAPABILITY · WIDER AUDIENCE

# Concentric: extend expertise to a new audience.

**STATIONERY**
Existing expertise

→

**SCHOOL KITS**
Adapted offer

→

**SCHOOL BUYERS**
Wider audience

Northstar uses its stationery expertise to create bulk school kits for school buyers. This uses the chapter's audience-extension interpretation of concentric growth. The opportunity is a new customer group; the risk is dependency on school budgets and seasonal orders.

Which capability is reused? Which audience changes?

NEW BUSINESS · NEW EXPERTISE

# Conglomerate: a different industry.

**STATIONERY SHOP**
Existing industry

→

**+ BIKE REPAIRS**
Different industry

→

**NEW CAPABILITY**
Separate demand + costs

Northstar opens a bicycle repair service. Its revenue no longer comes only from stationery. It must also learn repair operations and pay for another business. Spreading exposure can add coordination costs.

Why might a stationery supplier delay affect the bike service differently?

HINGE CHECK · 4 MIN · INDIVIDUAL

# Classify the move—and defend your boundary.

A bakery buys its flour supplier. A second bakery opens a separate phone-repair shop. Classify each move, name what changes, and identify a new responsibility. Use the framework, not a company name.

---

If your partner chose a different label, what detail in the scenario would settle the disagreement?

LAB · 12 MIN · PAIRS, INDIVIDUAL EXPLANATION

# Northstar: make one decision, then test it.

Round 1: predict, run the core shop, then change only the growth decision. Round 2: keep the strategy fixed and change one staff policy. Round 3: keep both fixed and introduce one disruption. Record before/after values. Each partner explains one result.

---

Which constraint changed the result? What does this model leave out about workers and customers?

Northstar is a fictional stationery shop. All quantities are teaching assumptions, not Amazon data. One round is one trading period. No fairness or injury score is calculated.

1 · Growth decision

Stay with the core shop

Predict before running: which cost or constraint will change?

▶ Round 2 · change one staff policy
▶ Round 3 · test a disruption

Run this decision

Explain one result, one stakeholder trade-off and one limit of this model.

Practice only. Download a record or submit to the local session when available.

Download my trials and explanation

Restore my practice record Choose File No file chosen

DEBRIEF · OBSERVATION BEFORE JUDGMENT

# More demand is not the same as more output.

Compare two recorded trials. Separate revenue, operating surplus and first-round cash after setup. Name the bottleneck. A higher wage changes this model's payroll; it does not automatically calculate retention, well-being or productivity.

---

State one result as "In this model, under these assumptions…" Then name the real evidence you would need.

SOURCE PAIR · UNITED STATES · HISTORICAL EVIDENCE

# Amazon: compare a company claim with a regulatory record.

Amazon's 18 October 2023 announcement says Sequoia can identify and store incoming inventory up to 75% faster. The US Department of Labor's 19 December 2024 release describes a settlement requiring corporate-wide ergonomic measures. Different sources answer different questions.

### Company account

What performance does Amazon claim?

### Regulatory record

What safety measures does the agreement require?

---

Does either source alone prove that automation improves—or worsens—every worker's experience?

AVOID A SINGLE “GOOD/BAD” SCORE

# Wages and working conditions need separate evidence.

A pay announcement can describe wages for a defined workforce. It does not establish the adequacy of pay in every location, injury rates, workload or worker voice. Compare date, country, job group and measure before combining evidence.

---

Which evidence would you request about pay, pace, safety and worker influence? Choose two and explain why.

POWER · SELLERS, CUSTOMERS AND WORKERS

# Control can grow across several connected markets.

**DISCOVERY**
Ranking + ads

→

**TRANSACTION**
Marketplace rules

→

**FULFILLMENT**
Storage + delivery

A platform may connect discovery, selling, payment and fulfillment. Convenience can rise while sellers depend on its rules. Diversification is a growth description; market power is a separate evidence question. In 2023 the FTC alleged unlawful monopoly maintenance in two defined markets; an allegation is not a finding of liability.

What alternatives could a seller realistically use? Which rule or dependency would you investigate?

3Cs MAP · 5 MIN · INDIVIDUAL

# Build the connection, not a vocabulary cloud.

| CONTENT | → | CONCEPT | → | CONTEXT | → | CONSEQUENCE |
|---|---|---|---|---|---|---|
| Tracking / algorithm | | Power / systems | | Economic | | Stakeholder + implication |

Content: digital tracking, algorithms or networks. Concept: power or systems. Context: economic. Connect a mechanism to an affected stakeholder, then an immediate impact and a possible longer-term implication. Label every relationship with a reason.

Add one cost and one benefit to different stakeholders. Attach a source or label the link as a hypothesis.

MAIN PROJECT · SUPPLY CHAIN DETECTIVE

# Follow the order beyond the screen.

Investigate one bounded route: a product order from supplier to buyer, or a digital title from hosting to viewer. Trace goods/service, money, data and control. Show where one digital system makes a consequential decision. Do not invent hidden infrastructure.

---

Choose a route and one question about efficiency, power or resilience. Why is that boundary manageable?

FOLLOW-UP · BEFORE THE FULL PROJECT

# A disruption reveals the dependencies.

Choose one Northstar trial pair. Explain a growth strategy, calculate one result and identify what the model omits. Then return to your Netflix/Amazon evidence and propose one bounded Supply Chain Detective route. Keep model results separate from real-world facts.

---

Submit a one-page decision brief or a two-minute recorded explanation with an annotated route and source list. Use the same reasoning criteria.

EXIT · INDEPENDENT TRANSFER · 4 MIN

# What can you now explain without the model?

An unfamiliar music service buys a ticket-delivery business. Explain a plausible growth classification, one new dependency and one stakeholder trade-off. Identify one fact you would need before judging the decision. State any assumption about how the businesses connect.

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Next lesson: reconstruct your input → decision → output chain without notes; then test a new disruption.